

State finances are showing a worrying trend

The Centre's **fiscal consolidation efforts** post Covid **have** not been matched by most States. Medical expenditure as well as a **fillip** to a **flagging** economy **necessitated** higher deficits in FY21 and FY22. But while the Centre is trying to bring its debt-to-GDP ratio back to pre-Covid levels by 2030 and has discontinued **off-budget borrowing** since 2022, many States are not **exercising** similar **prudence**. Growing **debt** is accompanied by concerns over the quality of spending, with **freebies** replacing development expenditure in health and education.

Data presented in the ongoing Parliamentary session **reveal** that State governments have recorded a 38 per cent increase in off-budget loans (loans taken by government undertakings) in FY25, taking these to ₹29,335 crore. **Guarantees** given by State governments for loans taken by State public sector **undertakings** also **remain** high; most States have budgeted for higher market borrowing in FY26 compared to the previous year. The Centre has been adding off-budget loans of States to the overall State borrowings since FY22. While these off-budget loans have decreased from the Covid high of ₹67,181 crore, the **spike** last fiscal **suggests** that States are spending far more than their revenue **warrants**. **Guarantees**, which are **contingent liabilities**, also **increase** the overall debt burden. Some **States** such as Telangana, Andhra Pradesh and Rajasthan **have** given guarantees which are in the range of 8-15 per cent of State GSDP.

Even without **accounting for** the guarantees, debt-to-GSDP ratio of all States and Union Territories combined stood at 28.8 per cent in FY25, according to RBI's State finances report. **Only five** of the States and Union Territories including Maharashtra, Gujarat and Odisha **have** a debt-to-GSDP ratio below the preferred 25 per cent level. **States** such as Punjab, Bihar, West Bengal and Kerala **have** debt at **untenably** high levels with ratios in the range of 39-52 per cent. With more than three-fourth of the larger States budgeting for higher market borrowings in FY26, it appears that controlling debt is not a priority for most States. With rising interest cost **squeezing** development expenditure and capex, there is an urgent need to **pare** the **outstanding** debt of States. While it is true that States have less flexibility in **mobilising** tax revenues, they should explore ways to raise non-tax revenues. **Subsidies** for services of State utilities **should** be **subjected to scrutiny**. The same holds true for ₹1 lakh crore or so spent on cash transfer schemes in FY25. Similarly, a move back to the 'old pension scheme' will **eventually** put extra burden on States which have opted for it.

On the revenue side, the possible **end** of **GST compensation cess** after FY26 **will** impact State budgets. However, the Supreme Court **decision** to **uphold** the power of States to tax mineral rights and recover **retrospective** demand from this tax **provides** relief to some States. In sum, States should focus on the quality of their spending and go slow on pure **populism**.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

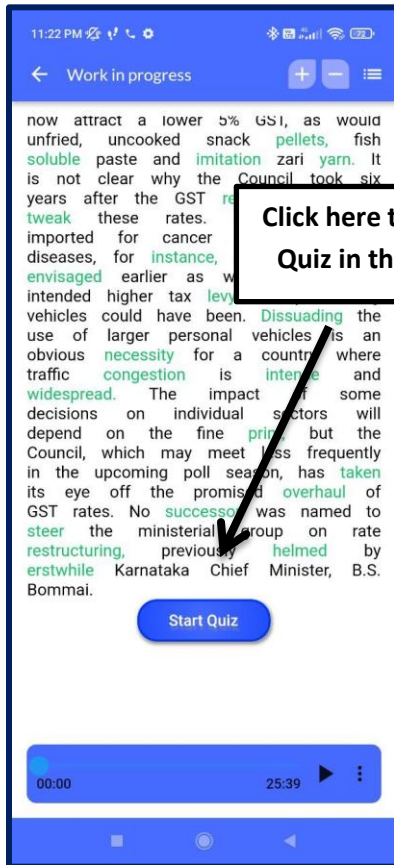
1. **Fiscal consolidation** (noun) – a government's efforts to reduce its budget deficit and manage public debt राजकोषीय सुदृढीकरण
2. **Post** (prefix) – after, following, subsequent to, in the wake of, ensuing बाद
3. **Fillip** (noun) – boost, stimulus, impetus, encouragement, push प्रोत्साहन
4. **Flagging** (adjective) – declining, weakening, fading, dwindling, deteriorating कमजोर होता हुआ
5. **Necessitate** (verb) – require, demand, call for, compel, mandate आवश्यक बनाना
6. **Off-budget** (adjective) – hidden, excluded, non-transparent, supplementary, unaccounted बजट के बाहर का
7. **Borrowing** (noun) – loan, credit, debt, advance, financing उधारी
8. **Exercise** (verb) – apply, employ, implement, utilize, execute प्रयोग करना
9. **Prudence** (noun) – caution, wisdom, judiciousness, discretion, foresight सावधानी / विवेक
10. **Debt** (noun) – liability, obligation, dues, arrears, deficit कर्ज
11. **Freebies** (noun) – handouts, giveaways, subsidies, perks, doles मुफ्त की रियायतें
12. **Undertaking** (noun) – enterprise, project, venture, operation, initiative उद्यम / उपक्रम
13. **Spike** (noun) – surge, rise, increase, jump, escalation तेज़ बढ़त
14. **Warrant** (verb) – justify, necessitate, authorize, validate, permit जरूरी बनाना
15. **Contingent liability** (noun) – a liability that may occur depending on the outcome of an uncertain future event.
16. **Account for** (phrasal verb) – explain, justify, represent, comprise, clarify जवाबदेह होना / शामिल होना
17. **Untenably** (adverb) – unsustainably, unjustifiably, indefensibly, weakly, illogically अस्थिर रूप से / टिकाऊ नहीं
18. **Squeeze** (verb) – restrict, tighten, constrain, limit, compress दबाव डालना / सीमित करना
19. **Pare** (verb) – reduce, trim, cut down, diminish, slash कम करना
20. **Outstanding** (adjective) – unpaid, pending, due, unresolved, unsettled बकाया
21. **Mobilise** (verb) – gather, marshal, organize, deploy, activate जुटाना

22. **Subject** (to) (verb) – expose, make liable, condition, make vulnerable, depend निर्भर या बाध्य करना
23. **Scrutiny** (noun) – inspection, examination, review, audit, analysis जाँच-पड़ताल
24. **Eventually** (adverb) – ultimately, finally, in the end, sooner or later, at last अंततः
25. **GST compensation cess** (noun) – an additional levy imposed on certain goods and services to compensate states for any revenue loss incurred due to the implementation of the Goods and Services Tax (GST).
26. **Uphold** (verb) – support, confirm, affirm, sustain, validate बरकरार रखना / समर्थन करना
27. **Retrospective** (adjective) – backward-looking, retroactive, past-related, historic, reflective पिछली तारीख से लागू
28. **Populism** (noun) – mass appeal, voter-pleasing policy, demagoguery, popular sentiment, majoritarianism लोकलुभावनवाद

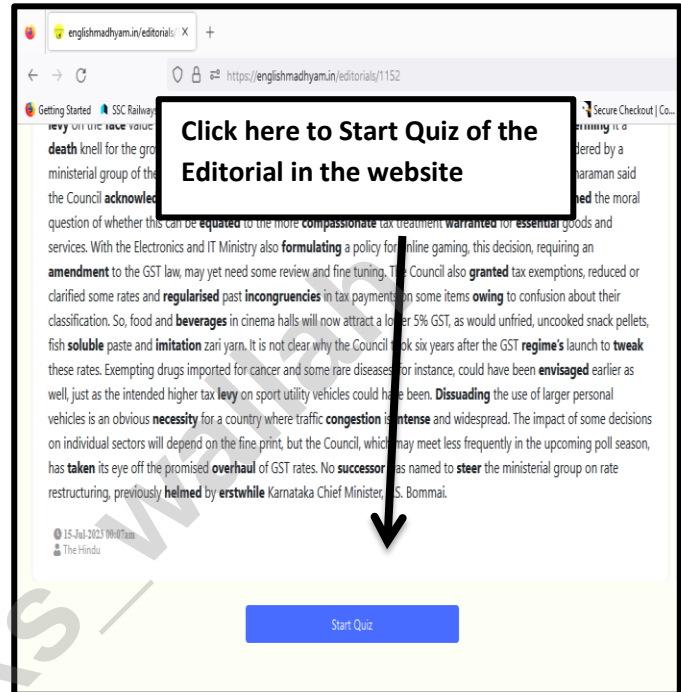
Summary of the Editorial

1. **Centre vs States Fiscal Discipline:** While the Centre is making efforts to reduce its debt-to-GDP ratio post-COVID, most States are not following similar fiscal prudence.
2. **Rising Off-Budget Borrowings:** States have increased their off-budget loans by 38% in FY25, reaching ₹29,335 crore, showing a lack of financial discipline.
3. **High Loan Guarantees:** States continue to issue large guarantees for loans taken by their public sector undertakings, increasing contingent liabilities.
4. **Centre's Reforms:** Since FY22, the Centre has started including off-budget borrowings in overall State borrowings to improve transparency.
5. **Covid Legacy Lingers:** Although off-budget borrowings have reduced from the pandemic peak, recent spikes show that States are still overspending beyond revenue limits.
6. **GSDP Debt Burden:** The combined debt-to-GSDP ratio of States and UTs stood at 28.8% in FY25, exceeding the desired threshold.
7. **Debt Distribution:** Only five States/UTs like Maharashtra and Odisha maintain debt below 25% of GSDP, while States like Punjab, Kerala, and Bihar exceed 39–52%.
8. **Borrowing Plans for FY26:** Over 75% of larger States plan to borrow more from markets in FY26, indicating debt control is not a focus.
9. **Rising Interest Costs:** The burden of interest payments is crowding out capital expenditure and developmental spending.
10. **Need to Reduce Debt:** There is an urgent call for States to pare down debt to prevent further fiscal deterioration.
11. **Limited Revenue Flexibility:** While States have limited control over tax revenues, they need to boost non-tax revenues.
12. **Freebies Under Scrutiny:** Spending on cash transfers (~₹1 lakh crore in FY25) and subsidies must be reviewed for sustainability.
13. **Old Pension Scheme Concern:** Reverting to the old pension scheme by some States will add long-term financial strain.
14. **GST Compensation Uncertainty:** The expected end of the GST compensation cess after FY26 will further squeeze State finances.
15. **SC Relief on Mineral Taxation:** A recent Supreme Court ruling allowing States to tax mineral rights offers a partial revenue boost, but States must prioritize quality over populist spending.

Practice Exercise: Banking Pattern Based



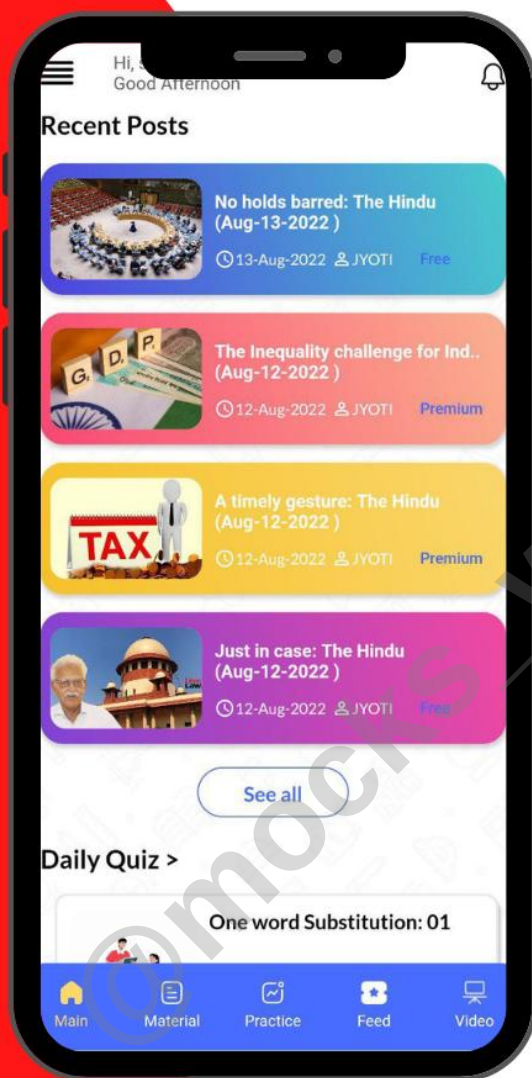
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